



An Assignment on
Different types of Contracts

Course Name: Law of Contract
Course Code: 0421 28 Law 1203

Submitted by:
Abdullah Al Noman
Id: 242832
Year 1st, Term 2nd
Law Discipline

Table of Contents

Introduction	2
i. Classification by Validity:	3
1. Valid Contract:	3
2. Void Contract:	3
3. Voidable Contract:	3
4. Unenforceable Contract:	4
ii. Classification by Performance:	4
1. Executed Contract:	4
2. Executory Contract:	4
iii. Classification by Formalities:	5
1. Formal Contract:	5
2. Informal Contract:	5
iv. Classification by Formation:	6
1. Express Contract:	6
2. Implied Contract:	6
3. Quasi-Contract:	6
Conclusion:	7

Introduction

In its simplest form, a contract is an agreement that is enforceable by law. A legally enforceable promise or set of promises is called contract. But all promises or agreements aren't contract at, only those agreements or promises that are recognized by law and law will provide enforce those promise and when one party fails to complete their promises, the law will provide remedy are contract.

For a contract to be valid, there should be a clear offer and absolute acceptance. The acceptance should be free consent and not obtain through coercion, undue influence, fraud, misrepresentation, or mistake. There have to have a consideration for a contract to be valid and the consideration should be lawful as well.

There are different types of contracts but there is no universal type. If we see contract from different direction like enforceability, formation, performance or formalities, we can classify them. In this assignment, we will discuss on different types of contracts.

i. Classification by Validity:

Contract, in view of its validity, may be classified into four categories which are as follows:

1. Valid Contract:

The contract, which have its essential elements as required under the contract law and free from any flaw is called a valid contract. A valid contract imposes obligations on concerned parties and enforceable by the court of law.

2. Void Contract:

The contract which is not formed in accordance with the provision of law is said to be a void contract. If a party, by mistake gives consent, in the true sense, it may be said that no agreement is created there and this type of contract will be void. Similarly, the contract made by a minor is generally void with some exceptions. Though, apparently, it appears to be a contract, but it is void and it has no existence in the eyes of law, because this type of contract does not create any right and imposes no obligation on the parties.

3. Voidable Contract:

The contract, which can be avoided or rescinded at the desire of any party concerned, is called a voidable contract. By misrepresentation, fraud, undue influence or coercion if consent of any party is obtained, later party whose consent is so obtained may cancel the contract. But if the party does not express the desire to avoid the contract or takes no steps to rescind, then the contract will be enforceable like a valid contract and it will create rights and liabilities on the both parties.

4. Unenforceable Contract:

The contract which is valid, but can not be enforceable by law court due to lack of a formality or procedural defect, is called an unenforceable contract. But, if the defects are removed then it may be enforceable by law. Registration is essential for transfer of any immovable property. If the contract for sale of a house is not registered, it is not enforceable. Though, the contract is valid in the eye of law. But unenforceable for procedural defect. So, a valid contract, if barred by procedural defect is unenforceable. Besides, the contract, which is not only unlawful for lack of essentials of contract but also forbidden by existing law of the country and against the morality, is illegal contract. Such as, Smuggling or contract for killing a man is also illegal contract.

ii. Classification by Performance:

A Contract, in the view of its performance can be classified into two types:

1. Executed Contract:

When a party to a contract performs his part is called an executed contract, though, the act of other party is not accomplished. Contract of a loan is executed contract, because the loan is provided by the creditor only the act of repayment by the debtor remains to be done.

2. Executory Contract:

When neither party performs his part it is called an executory contract. Such as, an agreement to sell of a car is made between A and B. A, as per agreement will pay to B in a fixed next date and then B will hand over the car. The act of the both parties will be executed in future. So, this kind of agreement is called executory contract.

iii. Classification by Formalities:

A contract can be divided into two categories based on their formalities:

1. Formal Contract:

During past, at British law, no common agreement could be enforced. But it was of course, enforceable if the agreement was coupled with some customs. With the evolution of contract law, these customs were abandoned and the agreement could be enforced if the requirement of law was fulfilled. There are some essential elements of a formal contract. The contract must be written. And it is to be written by hand or printed or typed or be written with any other thing besides paper. In the contract, there must be signature of the concerned parties. The contract deed must have been marked with seal. The deed of contract, written, signed and sealed must be delivered to the receiver or offeree or the third party. If there is any condition for delivery the promisor could retain it until that condition was satisfied. But in Bangladesh, this type of formal contract is not recognized.

2. Informal Contract:

Contract, without formality, that fulfills the requirements of formation of an agreement such type of contract is considered to be informal contract. Informal contract may be written or verbal but in support of this type of contract consideration is necessary. Verbal contract can not be formed in the following cases, where written contract is a must:

Contract in case of bill of exchange or a promissory note.

Contract of insurance.

Contract in case of acknowledgement of time of barred debt.

Contract in case of assignment of copy right.

Contract in case of British statue of frauds.

iv. Classification by Formation:

Contract can be classified into three types depending on how they have formed.

1. Express Contract:

Contract, made on the basis of discussion on offer, acceptance, consideration etc. is called express contract. It is a contract where the terms of the agreement are clearly stated in words, either spoken or written. For example, contract of selling a house.

2. Implied Contract:

Contract, formed without open discussion is called implied contract. Such as, to go to Dhaka from Tangail, a person gets in the bus. Here the person is bound to pay scheduled fare and the driver is bound to reach the person to the fixed place. This type of contract is said to be implied contract.

3. Quasi-Contract:

The contract which is not formed on the basis of voluntary promise like a contract but creates obligation like a valid contract, then, this type of contract is said to be a Quasi-Contract. Such as, if any person provides necessary things to a minor or an insane person, the supplier may recover his dues from the property of the minor or the insane person. Here no contract was made according to the contract law, but in view of the circumstances it creates obligation like a contract. This is a quasi-contract.

Conclusion:

The classification of contracts provides a vital framework for understanding contract even more closely. We have classified contracts from different perspective such as from the perspective of validity which includes valid contract, void contract, voidable contract and unenforceable contract. From the perspective of performance, we have classified it executed contract and executory contract. From the perspective of formalities, we have classified it in formal contract and informal contract. From the perspective of formation, we have classified it express contract, implied contract and quasi-contract.

This is not that end. There are many more types of contracts. For example, contingent contract which is a contract to do or not to do something, if some event, collateral to such contract, does or doesn't happen. Contract of indemnity is a contract by which one party promises to save the other from loss caused by some events. Contract of guarantee is a contract to perform the promise or discharge the liability of a third person in case of his default. Contract of bailment is a contract where the delivery of goods by one person to another for some purposes, upon a contract that they shall, when the purpose is accomplished, be returned or otherwise disposed of according to the directions of the person delivering them. Illegal contract is a contract which is opposed to the existing law. Contract of agency is a contract where one person is employed to do any act for another person or to represent another person in dealing with third persons. The contractual relationship between the owner and the agent is called agency.